COMMERCIAL BRIEF · LIVESTOCK CUSTOMER ECONOMICS · JULY 2026

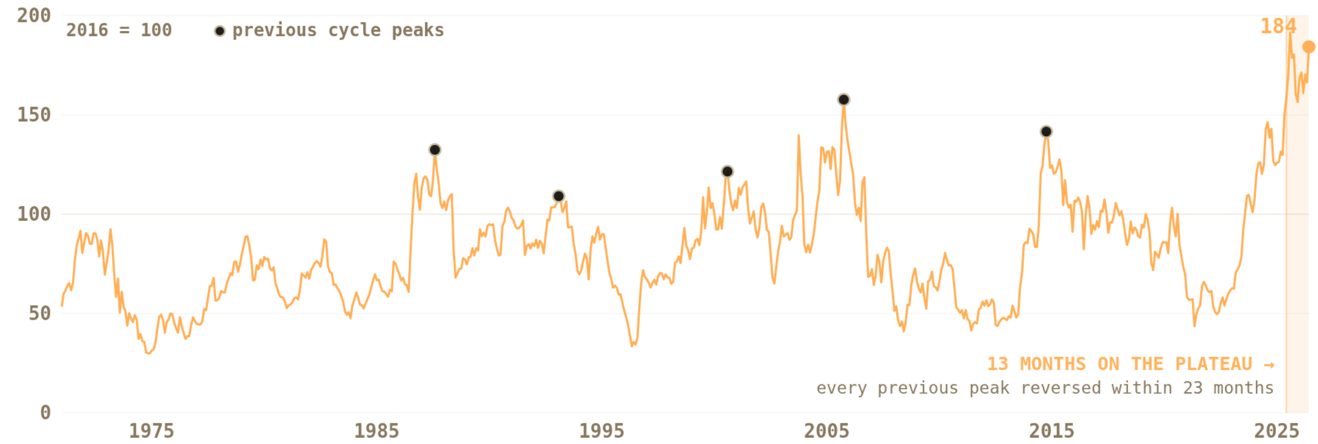
Our livestock customers are at their most profitable point in 55 years. It has never lasted.

Meat price divided by feed cost — the single ratio that drives a cattle producer's margin — for the United States, the European Union and Türkiye. Built from published national statistics, monthly, back to 1971 where the record allows.

THE BOTTOM LINE

1. **Producers are at a record.** US meat-to-feed parity stands at 184 (2016 = 100). The twelve highest months in 55 years of data have all occurred since June 2025.
2. **The peak has stopped climbing, and it is 13 months old.** The five previous peaks plateaued for 10 to 23 months — median 15 — before turning.
3. **Every previous peak reversed, by 25% to 60%.** Not one held. The correction took two to five years, because it runs on herd rebuilding, not sentiment.
4. **All three markets move together, not in sequence.** US and EU parity correlate at 0.88 with zero lag. Our customers in Europe and Türkiye are not two years behind — they are in the same cycle now.

1 · WHERE WE ARE



US meat-to-feed parity, monthly, Jan 1971 – Jun 2026. Index: each country's own 2016 average = 100. Amber band = the current plateau (Jun 2025 – Jun 2026). Dots mark the five previous cycle peaks.

A producer's economics reduce, at the crudest level, to one question: how many kilos of feed does a kilo of meat buy? In 1974 in the United States it bought half a kilo. Today it buys more than two. The long drift upward reflects productivity. The **waves around that drift are the cycle** — and the cycle is what determines whether a customer is deciding between products or deciding whether to buy at all.

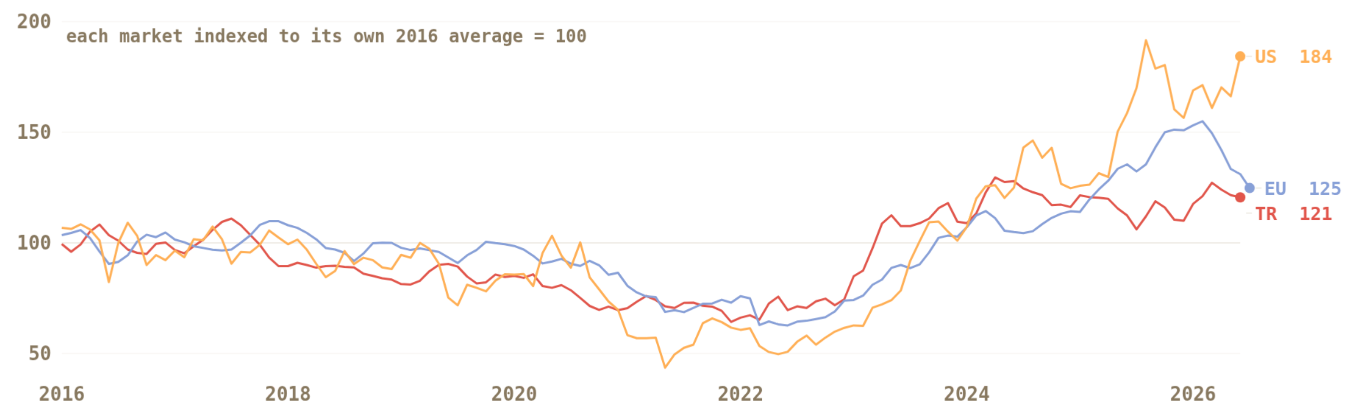
2 · WHAT HAS ALWAYS HAPPENED NEXT

Cycle peak	Plateau length	Then fell by	Over
1987	15 months	−34%	20 months
1993	13 months	−55%	38 months
2000–01	23 months	−26%	24 months
2005	17 months	−60%	35 months
2014–15	10 months	−35%	58 months
2025–26 (now)	**13 months and counting**	–	–

Plateau = months the twelve-month average stayed within 10% of its peak. On this pattern the current plateau is in its second half, though 2000–01 ran to 23 months. **The direction is well supported; the date is not.** Five observations is a small sample, and this peak sits far above any previous one, so it may behave differently.

> **One caveat, stated plainly.** Parity is a ratio, not a margin. In the United States the calf itself is also at a record price, so the feedlot's actual profit today is thinner than the ratio implies. Parity tells you the direction of producer economics reliably. It does not tell you the whole bill.

3 · WHO IS EXPOSED, AND WHEN



US, EU and Türkiye parity, indexed to each market's own 2016 average = 100. EU series begins Nov 2015, Türkiye Jan 2010.

Feed grain is priced globally, so the cycle is global. Testing the year-on-year change at every lag from −12 to +12 months, the strongest US–EU correlation is **0.88 at zero lag**; US–Türkiye peaks at roughly 0.6, also near zero lag. There is no leader and no follower — which means there is no early-warning window to exploit, and no market that gets to prepare while another goes first.

4 · WHAT THIS MEANS FOR US

When producer margin compresses, spend does not fall evenly. Some lines are non-negotiable; some are deferred a season; some are dropped. **We do not currently have a documented view of which is which.**

- **The window is now, not later.** Customers have cash today. Conversations about their cost structure are easier while they are profitable than after they are not.
- **A price move landing into a downturn behaves differently from one landing into a peak.** If the plateau breaks within the next two to three quarters, the phasing of the next increase matters more than its size.
- **The decision we cannot yet make** is which parts of our portfolio sit in the deferred bucket when a producer's margin halves. That requires customer P&L work, not more macro data.

Proposed next step: a short structured review with the livestock commercial teams — what producers actually cut, in what order, in the last two downturns — and map it against our portfolio. Two to three weeks of work. The macro side is already done.

SOURCES · US: Bureau of Labor Statistics (the US federal statistics office) producer price index, series WPU0131 (slaughter cattle) and WPU012202 (corn). EU: European Commission / Eurostat beef reference prices and compound feed. TÜRKİYE: TurkStat producer price indices TP.TUFE1YI.T17 and T25.

METHOD · Full sources, formulas, robustness checks and limitations: parite-sigir-metodoloji.html

FULL STUDY · parite-sigir.html — interactive, 10 charts, including the feedlot P&L model.

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